

Section : Economics

Q.1 Balance of Payments of an economy records —

1. Income and the expenditure of the government.
2. Inflow and outflow of the funds of the government.
3. Inflow and outflow of visible items into/from the rest of the world.
4. Inflow/outflow of foreign exchange to/from the economy.

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Identify which of the following statements is incorrect with reference to an economy:

1. Sum of Gross Domestic Product (GDP) and Gross National Product (GNP) is always equal to zero.
2. Excess of GDP over GNP is possible.
3. Equality between GDP and GNP is possible.
4. Excess of GNP over GDP is possible.

Options 1. 1

2. 2
3. 3
4. 4

Q.3 Which of the following statements is true about autonomous transactions?

1. BOP is said to be in surplus if autonomous receipts are greater than autonomous payments.
2. These are also known as below-the-line items.
3. These only occur in capital account of BOP.
4. These items are done to correct the imbalance of BOP.

Options 1. 1

2. 2
3. 3
4. 4

Q.4

Match List-I with List-II

List-I

List-II

(A) Consumers equilibrium

(I) $\Delta Y/\Delta X$

(B) Slope of IC

(II) Budget line rotates to the right starting from the Y-axis

(C) P_x falls

(III) Consumer should move downwards to the right along the IC

(D) $MRS_{xy} > P_x/P_y$

(IV) Optimum choice of the consumer

Choose the correct answer from the options given below

1. (A) – (IV), (B) – (I), (C) – (II), (D) – (III)
2. (A) – (II), (B) – (III), (C) – (IV), (D) – (I)
3. (A) – (III), (B) – (IV), (C) – (II), (D) – (I)
4. (A) – (IV), (B) – (II), (C) – (I), (D) – (III)

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Average Fixed Cost (AFC) is indicated by?

1. A rectangular hyperbola.
2. A straight line parallel to X axis.
3. A straight line parallel to Y axis.
4. A U-shaped curve.

Options 1. 1

2. 2

3. 3

4. 4

Q.6 _____ refers to that level of aggregate demand, which can be met by the corresponding supply in the economy.

1. Autonomous consumption
2. Effective demand
3. Excess demand
4. Deficient demand

Options 1. 1

2. 2

3. 3

4. 4

Q.7 What would price ceiling lead to when the maximum price is fixed lower than the equilibrium price?

1. Excess Supply
2. Deficit Supply
3. Excess Demand
4. Deficit Demand

Options 1. 1

2. 2

3. 3

4. 4

Q.8 What does break-even point indicate?

1. Total Revenue (TR) > Total Cost (TC)
2. Total Revenue (TR) < Total Cost (TC)
3. Total Revenue (TR) = Total Cost (TC)
4. Total Cost (TC) = 0

Options 1. 1

2. 2

3. 3

4. 4

Q.9 The price elasticity of supply of a commodity is 2.5. At a price of Rs. 5 per unit, its quantity supplied is 300 units. What will be its quantity supplied at a price of Rs. 4 per unit?

1. 300 units
2. 450 units
3. 600 units
4. 150 units

Options 1. 1

2. 2

3. 3

4. 4

Q.10 Which of the following is not concerned with the problem of choice?

1. Alternative use of the resources.
2. Unlimited wants.
3. Limited (scarce) resources.
4. Excessive Income.

Options 1. 1

2. 2

3. 3

4. 4

Q.11

Arrange the following statements in sequential order:

- (A) Rise in prices.
- (B) Central Bank increases margin requirement.
- (C) Situation of excess demand in the economy.
- (D) Aggregate demand falls.

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (C), (A), (B), (D)
- 3. (A), (C), (B), (D)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.12 An upward sloping straight line supply curve shooting from the X-axis indicates the:

- 1. Elasticity of supply is less than one.
- 2. Elasticity of supply is equal to one.
- 3. Elasticity of supply is greater than one.
- 4. Elasticity of supply is equal to zero.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.13 Identify the correct reasons that may affect the demand for foreign exchange in an economy.

- (A) Import of visibles.
- (B) Export of invisibles.
- (C) Remittances by residents working abroad.
- (D) Purchase of assets abroad.

Choose the correct answer from the options given below:

- 1. (A) and (B) only
- 2. (B) and (C) only
- 3. (C) and (D) only
- 4. (A) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.14 The value of nominal GDP is 1100 and the value of real GDP is 1000. Find the value of GDP deflator.

- 1. 0.9
- 2. 1.1
- 3. 1
- 4. 0.8

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.15

Match List-I with List-II

List-I

(A) Exchange Rate

List-II

(I) Supply of foreign exchange = Demand of foreign currency

- (B) Gold standard system of exchange rate (II) Domestic currency loses its value in relation to a foreign currency
- (C) Par rate of exchange (III) External value of the domestic currency
- (D) Currency Depreciation (IV) An old variant of fixed exchange rate
- Choose the correct answer from the options given below:

1. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)
2. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
3. (A) – (II), (B) – (IV), (C) – (I), (D) – (III)
4. (A) – (IV), (B) – (I), (C) – (II), (D) – (III)

Options 1. 1

2. 2
3. 3
4. 4

Q.16 The Law of Diminishing Marginal Utility states that when more and more units of a commodity are consumed, Marginal Utility _____.

1. begins to increase.
2. remains constant.
3. begins to decrease.
4. becomes zero.

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Under perfect competition, for the producer to be in equilibrium:

1. $AR = MR = AC$ and AC must be rising.
2. $AR = MR = MC$ and MC must be falling.
3. $AR = MR = TC$ and TC must be rising.
4. $AR = MR = MC$ and MC must be rising.

Options 1. 1

2. 2
3. 3
4. 4

Q.18 A shift in the budget line, when prices are constant, is due to:

1. Change in demand of the commodity.
2. Change in the income of the consumer.
3. Change in preferences of the consumer.
4. Change in utility derived.

Options 1. 1

2. 2
3. 3
4. 4

Q.19 Suppose the demand and supply curves of salt are given by:

$$Q_d = 1000 - p$$

$$Q_s = 700 + 2p$$

Find the equilibrium price and quantity.

1. Equilibrium price = 100, Equilibrium Quantity = 900
2. Equilibrium price = 200, Equilibrium Quantity = 900
3. Equilibrium price = 200, Equilibrium Quantity = 600
4. Equilibrium price = 100, Equilibrium Quantity = 600

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Which of the following is a demerit of price ceiling?

- (A) Black Marketing.

- (B) Stability of income of producers.
(C) Low quality product is offered to consumer.
(D) Standing in long queues to get allocated quota of the commodity.
Choose the correct answer from the options given below:

1. (A), (B) and (C) only
2. (A), (B) and (D) only
3. (A), (B), (C) and (D)
4. (A), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Which of the following are the functions of Government Budget?

- (A) Restriction.
(B) Allocation.
(C) Redistribution.
(D) Stabilisation.

Choose the correct answer from the options given below:

1. (A), (C) and (D) only
2. (B), (C) and (D) only
3. (A), (B), (C) and (D)
4. (A), (B) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.22 When will increase in supply bring down the price, leaving the quantity demanded unchanged?

1. When demand for the commodity is perfectly elastic.
2. When demand for the commodity is perfectly inelastic.
3. When demand for the commodity is less elastic.
4. When demand for the commodity is more elastic.

Options 1. 1

2. 2
3. 3
4. 4

Q.23 In an economy if all individuals increase the proportion of income they save, then arrange the following statements in their chronological order.

- (A) Marginal propensity to consume decreases.
(B) The level of income decreases.
(C) The amount of savings remains the same.
(D) The aggregate demand curve rotates downwards.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (A), (D), (B), (C)

Options 1. 1

2. 2
3. 3
4. 4

Q.24 Arrange the following economic events in chronological order:

- (A) Gold was displaced by creating the Special Drawing Rights (SDRs).
(B) The Great Depression.
(C) First World War.
(D) Bretton Woods Conference.

Options:

1. (A), (B), (C), (D)
2. (C), (B), (D), (A)
3. (B), (A), (D), (C)
4. (A), (B), (D), (C)

Options 1. 1

2. 2
3. 3
4. 4

Q.25

Match List-I with List-II

List-I

(A) Perfect Competition

(B) Perfectly elastic demand curve

(C) Degree of price control under perfect competition

(D) Freedom of entry and exit

List-II

(I) A typical characteristic of perfect competition

(II) An individual firm is a price taker

(III) The firm can sell any amount of its output at the prevailing price

(IV) No control over price

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (I), (C) – (II), (D) – (III)
2. (A) – (IV), (B) – (I), (C) – (III), (D) – (II)
3. (A) – (II), (B) – (IV), (C) – (I), (D) – (III)
4. (A) – (II), (B) – (III), (C) – (IV), (D) – (I)

Options

1. 1
2. 2
3. 3
4. 4

Q.26

Identify which of the following statements are correct:

(A) Fiscal deficit is the difference between total revenue and total expenditure excluding borrowing of the government.

(B) Fiscal deficit is the difference between total planned expenditure and total planned receipts of the government.

(C) Primary deficit is the difference between total planned receipt and interest payments.

(D) Fiscal deficit is the sum of primary deficit and interest payment.

Choose the correct answer from the options given below:

1. (B) and (D) only
2. (A) and (D) only
3. (C) and (D) only
4. (A) and (C) only

Options

1. 1
2. 2
3. 3
4. 4

Q.27

Identify which of the following is not considered as 'Normal Resident' of India?

1. An Indian citizen working in USA embassy located at New Delhi.
2. An Indian official working in Indian embassy in China.
3. An Indian diplomat visiting Canada for a conference.
4. An Indian working in an American company located in New York for a period of more than 1 year.

Options

1. 1
2. 2
3. 3
4. 4

Q.28 Which of the following is not a characteristic of a capitalist economy?

1. There is private ownership of means of production.
2. There is public ownership of means of production.
3. There is sale and purchase of labour services at a price which is called the wage rate.
4. Production takes place for the welfare of society.

Options 1. 1

2. 2

3. 3

4. 4

Q.29 Stages of production are the consequences of:

1. Law of Diminishing Marginal Rate of Transformation.
2. Law of Diminishing Marginal Utility.
3. Law of Variable Proportions.
4. Law of Diminishing Returns to Scale.

Options 1. 1

2. 2

3. 3

4. 4

Q.30 Arrange the following steps in the calculation of national income, by income method in correct sequence:

- (A) Add Net Factor from Abroad to arrive at National Income.
- (B) Estimate the factor income estimated by each sector.
- (C) Identify and classify the income-generating units.
- (D) Calculate domestic factor income.

Choose the correct answer from the options given below:

1. (A), (B), (D), (C)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.31 Law of demand is violated when?

1. Income effect is negative.
2. Substitution effect is negative.
3. Negative income effect is greater than substitution effect.
4. Negative income effect is less than substitution effect.

Options 1. 1

2. 2

3. 3

4. 4

Q.32 Which of the following statements are incorrect?

- (A) Loans from IMF is a Revenue Receipt.
- (B) Capital Receipts are shown on the liabilities of the balance sheet.
- (C) Interest payment by the government represents a representation of fiscal deficit.
- (D) Revenue Deficit is the excess of capital receipts over the revenue receipts.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B) and (C) only
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.33

Match List-I with List-II

List-I

List-II

(A) Marginal Propensity to Consume (I) C/Y

(B) Marginal Propensity to Save (II) $\Delta C/\Delta Y$

(C) Average Propensity to Save (III) S/Y

(D) Average Propensity to Consume (IV) $\Delta S/\Delta Y$

Choose the correct answer from the options given below:

1. (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
2. (A)-(IV), (B)-(III), (C)-(II), (D)-(I)
3. (A)-(II), (B)-(IV), (C)-(III), (D)-(I)
4. (A)-(III), (B)-(IV), (C)-(I), (D)-(II)

Options 1. 1

2. 2

3. 3

4. 4

Q.34

Match List-I with List-II

List-I

List-II

(A) An enquiry into the nature and cause of the wealth of nations (I) 1919

(B) The Economic Consequences of the Peace (II) 1929

(C) General Theory of Employment, Interest and Money (III) 1776

(D) The Great Depression (IV) 1936

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (III), (B) – (I), (C) – (IV), (D) – (II)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.35 What is the shape of Average Revenue (AR) curve under perfect competition?

1. Horizontal straight line.
2. Vertical straight line.
3. Rectangular hyperbola.
4. Downward to the right .

Options 1. 1

2. 2

3. 3

4. 4

Q.36 Identify the correct sequence with regard to externalities:

- (A) Leads to negative externalities.
(B) Production by the refining industry pollutes nearby rivers.
(C) Causes harm to people.
(D) Dependent may lose their livelihood.

Choose the correct answer from the options given below:

1. (B), (C), (A), (D)
2. (A), (B), (C), (D)
3. (B), (C), (D), (A)
4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.37 If due to fall in price, total expenditure on the commodity falls, it indicates?

1. Price elasticity of demand is zero.
2. Price elasticity of demand is less than unity.
3. Price elasticity of demand is infinity.
4. Price elasticity of demand is greater than unity.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.38 When Marginal Product is constant?

- 1. Total Product is also constant.
- 2. Total Product is zero.
- 3. Total Product is increasing at a constant rate.
- 4. Total Product is decreasing at a constant rate.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.39 Primary Deficit can be zero if?

- 1. Fiscal Deficit = Interest Payments.
- 2. Fiscal Deficit > Interest Payments.
- 3. Revenue deficit < Interest payments.
- 4. Fiscal Deficit < Interest Payments.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.40 When some resources are shifted from Use 1 to Use 2 (given technology), the Marginal Rate of Transformation will:

- 1. Increases.
- 2. Decreases.
- 3. Remains constant.
- 4. Zero.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.41 Read the passage carefully and answer the questions based on the passage:

RBI Monetary Policy

The Reserve Bank of India, in its monetary policy meet decided to keep the key policy rates unchanged after two emergency rate cuts amid the COVID-19 disruptions and its ensuing economic fall out. Consequently, the repo rate stands unchanged at 4% and the reverse repo rate at 3.35%. RBI noted that the economic activity had started to recover from the lows of April–May. Meanwhile, migrant labor is returning to work in urban areas, and factories and construction activities are coming back to life. This is also reflected in rising levels of energy consumption and population mobility. In cities, traffic intensity is rising rapidly; online commerce is booming; and people are getting back to offices. The mood of the nation has shifted from fear and despair to confidence and hope. Some of this optimism is being reflected in people's expectations. In September 2020, round of the RBI's survey, households expect inflation to decline modestly over the next three months, indicative of hope that supply chains are mending.

Which of the following is not a monetary measure adopted by Reserve Bank of India?

- 1. Change in Cash Reserve Ratio.
- 2. Change in Bank Rate.
- 3. Change in Public Expenditure.
- 4. Change in Open Market Operations.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.42 Read the passage carefully and answer the questions based on the passage:

RBI Monetary Policy

The Reserve Bank of India, in its monetary policy meet decided to keep the key policy rates unchanged after two emergency rate cuts amid the COVID-19 disruptions and its ensuing economic fall out. Consequently, the repo rate stands unchanged at 4% and the reverse repo rate at 3.35%. RBI noted that the economic activity had started to recover from the lows of April–May. Meanwhile, migrant labor is returning to work in urban areas, and factories and construction activities are coming back to life. This is also reflected in rising levels of energy consumption and population mobility. In cities, traffic intensity is rising rapidly; online commerce is booming; and people are getting back to offices. The mood of the nation has shifted from fear and despair to confidence and hope. Some of this optimism is being reflected in people's expectations. In September 2020, round of the RBI's survey, households expect inflation to decline modestly over the next three months, indicative of hope that supply chains are mending.

Repo Rate is the rate at which:

1. Commercial banks purchase government securities from the central bank.
2. Commercial banks can take loans from the central bank.
3. Commercial banks can keep their deposits with the central bank.
4. Short-term loans are given by commercial banks.

Options 1. 1

2. 2

3. 3

4. 4

Q.43 Read the passage carefully and answer the questions based on the passage:

RBI Monetary Policy

The Reserve Bank of India, in its monetary policy meet decided to keep the key policy rates unchanged after two emergency rate cuts amid the COVID-19 disruptions and its ensuing economic fall out. Consequently, the repo rate stands unchanged at 4% and the reverse repo rate at 3.35%. RBI noted that the economic activity had started to recover from the lows of April–May. Meanwhile, migrant labor is returning to work in urban areas, and factories and construction activities are coming back to life. This is also reflected in rising levels of energy consumption and population mobility. In cities, traffic intensity is rising rapidly; online commerce is booming; and people are getting back to offices. The mood of the nation has shifted from fear and despair to confidence and hope. Some of this optimism is being reflected in people's expectations. In September 2020, round of the RBI's survey, households expect inflation to decline modestly over the next three months, indicative of hope that supply chains are mending.

The Reserve Bank of India (RBI) _____ government securities in a bid to _____ the stock of money in the economy.

1. sells; decrease
2. purchases; decrease
3. sells; increase
4. purchases; not change

Options 1. 1

2. 2

3. 3

4. 4

Q.44 Read the passage carefully and answer the questions based on the passage:

RBI Monetary Policy

The Reserve Bank of India, in its monetary policy meet decided to keep the key policy rates unchanged after two emergency rate cuts amid the COVID-19 disruptions and its ensuing economic fall out. Consequently, the repo rate stands unchanged at 4% and the reverse repo rate at 3.35%. RBI noted that the economic activity had started to recover from the lows of April–May. Meanwhile, migrant labor is returning to work in urban areas, and factories and construction activities are coming back to life. This is also reflected in rising levels of energy consumption and population mobility. In

cities, traffic intensity is rising rapidly; online commerce is booming; and people are getting back to offices. The mood of the nation has shifted from fear and despair to confidence and hope. Some of this optimism is being reflected in people's expectations. In September 2020, round of the RBI's survey, households expect inflation to decline modestly over the next three months, indicative of hope that supply chains are mending.

A cut in Repo Rate would lead to _____ in Money Supply and a cut in Reverse Repo Rate would lead to _____ in deposits of commercial banks to RBI.

1. increase; increase
2. decrease; decrease
3. decrease; increase
4. increase; decrease

Options 1. 1

2. 2
3. 3
4. 4

Q.45

Read the passage carefully and answer the questions based on the passage:

RBI Monetary Policy

The Reserve Bank of India, in its monetary policy meet decided to keep the key policy rates unchanged after two emergency rate cuts amid the COVID-19 disruptions and its ensuing economic fall out. Consequently, the repo rate stands unchanged at 4% and the reverse repo rate at 3.35%. RBI noted that the economic activity had started to recover from the lows of April–May. Meanwhile, migrant labor is returning to work in urban areas, and factories and construction activities are coming back to life. This is also reflected in rising levels of energy consumption and population mobility. In cities, traffic intensity is rising rapidly; online commerce is booming; and people are getting back to offices. The mood of the nation has shifted from fear and despair to confidence and hope. Some of this optimism is being reflected in people's expectations. In September 2020, round of the RBI's survey, households expect inflation to decline modestly over the next three months, indicative of hope that supply chains are mending.

Why did Monetary Policy Committee keep its policy rate unchanged in its recent meet?

1. Due to recovery of economic activities.
2. To avoid unnecessary deflation.
3. Because of irrational decision of committee.
4. To reduce economic activities.

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Read the passage carefully and answer the questions based on the passage:

Calculate various parameters of Aggregate Demand, Aggregate Supply and related concepts.

Income (in ₹Crore) Consumption (in ₹Crore)

0	50
50	75
100	100
200	150
300	200
400	250

Calculate Marginal Propensity to Save (MPS) and Average Propensity to Consume (APC) at income level of 200.

1. MPS = 0.4; APC = 0.75
2. MPS = 0.2; APC = 0.8
3. MPS = 0.5; APC = 0.75

4. $MPS = 0.4$; $APC = 0.8$

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Read the passage carefully and answer the questions based on the passage:

Calculate various parameters of Aggregate Demand, Aggregate Supply and related concepts.

Income (in ₹Crore) Consumption (in ₹Crore)

0 50

50 75

100 100

200 150

300 200

400 250

When income is more than consumption, then value of Average Propensity to Save (APS) is:

1. More than zero.

2. Equal to zero.

3. Less than zero.

4. More than one.

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Read the passage carefully and answer the questions based on the passage:

Calculate various parameters of Aggregate Demand, Aggregate Supply and related concepts.

Income (in ₹Crore) Consumption (in ₹Crore)

0 50

50 75

100 100

200 150

300 200

400 250

_____ is the minimum level of consumption done at zero income level and is independent of income.

1. Autonomous consumption

2. Investment consumption

3. Ex-ante consumption

4. Ex-post consumption

Options 1. 1

2. 2

3. 3

4. 4

Q.49 Read the passage carefully and answer the questions based on the passage:

Calculate various parameters of Aggregate Demand, Aggregate Supply and related concepts.

Income (in ₹Crore) Consumption (in ₹Crore)

0	50
50	75
100	100
200	150
300	200
400	250

When income is less than consumption, value of Average Propensity to Consume (APC) is:

1. More than 1.
2. Less than 1.
3. Less than zero.
4. Equal to zero.

Options 1. 1

2. 2

3. 3

4. 4

Q.50 Read the passage carefully and answer the questions based on the passage:

Calculate various parameters of Aggregate Demand, Aggregate Supply and related concepts.

Income (in ₹Crore) Consumption (in ₹Crore)

0	50
50	75
100	100
200	150
300	200
400	250

From the given table, identify the level of income where Average Propensity to Save (APS) becomes zero:

1. 50
2. 100
3. 200
4. 0

Options 1. 1

2. 2

3. 3

4. 4